STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Mr Ross Cooney

Of

42 KYNE STREET

GLENGARRY VIC 3854

Prepared on:

15th February 2024

By your Adviser:

Andrew Lord *B Bus (Acc), Dip FS (Fin Plan)*

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What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

Mr Ross Cooney
42 Kyne Street
GLENGARRY VIC 3854

15/02/2024

Dear Ross,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

Table of Contents

Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice, we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main-focus is on:

- Retirement Income Planning
- Superannuation Advice
- Superannuation Contribution Strategies
- Most Appropriate Use and Structure for Surplus Funds

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments, we recommend as part of our advice you are entitled to a 14-day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore, we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on (03) 9596 5111.

The Planning Process

Ross, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this, we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Invest surplus cash at bank under a tax effective structure from which you can draw down a tax-free income stream in the future.
- Preserve your existing capital.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mr
First Name	Ross
Surname	Cooney
Gender	M
Date of Birth	25/06/1963
Age Last Birthday	60
Marital Status	Single

Employment Details

Employment Status	Full-Time
Employer	Austimber

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

	Value
Residential Home	$700,000
Cash	$330,000
Total Lifestyle Assets	**$1,030,000**

Superannuation Assets	
Ross	
AMP SignatureSuper	$417,632
Total Superannuation Assets	**$417,632**

Total ASSETS	**$1,447,632**

LIABILITIES

Residential Home Loan	$0
Total Liabilities	**$0**

NET WORTH	**$1,447,632**

Notes: As the above information has been used in preparing our recommendations, please advise us of any errors or omissions. The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Ross, based upon our discussions it was determined that you have a '**Balanced**' investor risk profile in regard to investments *inside superannuation*.

- A **Balanced** investor places greater emphasis on capital appreciation with current income and asset preservation being of a secondary concern.

- This requires an investments time horizon of between 5 – 7 years.

- A **Balanced** portfolio would typically comprise an overweight holding in shares and property with a small exposure to income bearing securities such as cash and fixed interest.

A '**Balanced**' investor will typically diversify their investment in the following manner:

Australian Shares	27%
International Shares	29%
Fixed Interest	26%
Property	12%
Cash	6%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property).

By covering all primary investment markets, the risks and volatility of your investments can be managed to levels consistent with your investment profile whilst maintaining the potential for long term growth. Any recommendation will be based on your risk tolerance, while in balance with your goals and objectives.

Changes to the Model 'Balanced' Asset Allocation

At the beginning of 2024, Lakeside Financial has made a number of changes to the makeup of our clients' model portfolios. While we are constantly analysing and reviewing the specific funds our clients are invested in, we are now making some slight adjustments to the actual allocations of funds to specific asset classes.

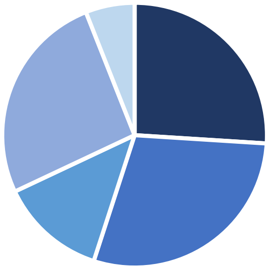
The main reason for this is to ensure our model portfolios continue to meet a certain professional and industry standard, set by Lonsec Research, and which we aim to maintain here at Lakeside.

Please see below an outline of the proposed changes to your model 'Balanced' Asset Allocation, followed by a brief explanation of why the specific proposed changes are being made:

Previous Allocation

Australian Equities	34%
International Equities	20%
Property & Infrastructure	14%
Fixed Interest	26%
Cash	6%
	100%

New Allocation



Australian Equities	27%
International Equities	29%
Property & Infrastructure	12%
Fixed Interest	26%
Cash	6%
	100%

Changes

Australian Equities	-7%
International Equities	+9%
Property & Infrastructure	-2%
Fixed Interest	-
Cash	-
	100%

The main difference in this new 'Balanced' Asset Allocation compared to the previous Asset Allocation is an increase in exposure to International Shares, with less exposure to Australian Shares and slightly less exposure to Property and Infrastructure.

These changes are preferable as LONSEC has reported that investing a greater proportion in Global Shares can increase geographical diversification while also leading to increased returns above those from Australian Shares (see Appendix B for further information on 'Regional Diversification' from Lonsec Research).

Additionally, the Australian Share Exchange (ASX) tends to follow the same trends and patterns in response to activity in the US and World Share markets.

Property and Infrastructure, while still an important mode of diversification, continues to experience turbulent sector-wide returns in response to global economic factors such as inflation and high interest rates.

We will continue to monitor this sector, however, in the meantime we should look to a combination of International and Australian Shares to provide some more consistent capital growth.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2023-24

Taxable income	*Tax on this income*
$1 – $18,200	Nil
$18,201 – $45,000	19c for each $1 over $18,200
$45,001 – $120,000	$5,092 plus 32.5c for each $1 over $45,000
$120,001 – $180,000	$29,467 plus 37c for each $1 over $120,000
$180,001 and over	$51,667 plus 45c for each $1 over $180,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in ‘accumulation’ phase - Tax rate = 15%

Superannuation in ‘pre-retirement pension’ phase - Tax rate = 15%

Superannuation in ‘allocated pension’ phase - Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation and pre-retirement pension phase	Super allocated pension phase
			After age 60
Salary/pension income	Marginal tax rate **(max 45% + medicare)**	n/a	**Tax free**
Super contributions (SGC, salary sacrifice)	n/a	**15%**	n/a
Investment income	Marginal tax rate **(max 45% + medicare)**	Maximum 15%	**Tax free***
Capital gains	**Marginal tax rate** (50% discount if held for more than 12 months)	**10%** (15% if asset held less than 12 months)	**Tax free***

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-67	Age 68-74*	Age75 and over
From 1 July 2012	$25,000	**$25,000**	**$25,000**	**$25,000**	SGC only
From 1 July 2013	$25,000	**$25,000**	**$35,000**	**$35,000**	SGC only
From 1 July 2014	$30,000	**$35,000**	**$35,000**	**$35,000**	SGC only
From 1 July 2017	$25,000	**$25,000**	**$25,000**	**$25,000**	SGC only
From 1 July 2021	$27,500	**$27,500**	**$27,500**	**$27,500**	SGC only

*Must be employed at least 40 hours during any consecutive 30-day period in the financial year you would like to make the contributions.

Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 67	Age 67 to 74	Age 75 and over
From 1 July 2007	$150,000 p.a.	May bring forward two years of contributions to make a $450,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2014	$180,000 p.a.	May bring forward two years of contributions to make a $540,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2017	$100,000 p.a.	May bring forward two years of contributions to make a $300,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2021	$110,000 p.a.	May bring forward two years of contributions to make a $330,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2022	$110,000 p.a.	May bring forward two years of contributions to make a $330,000 contribution in one financial year		Cannot contribute

Strategy Recommendation

Reasons For Seeking Advice:

- Ross, you currently have **$330,000** in surplus cash available to you.
- You wish to retain **$30,000** of these funds as cash at bank so that they are easily accessible to you. Therefore, you seek advice in terms of the most appropriate structure for the remaining **$300,000** of these funds.

Superannuation Funds

Ross, you currently have the following superannuation fund:

Ross

AMP SignatureSuper – Account Number 702746875

- The fund currently has a balance of approximately $417,632.

Superannuation Accumulation Funds

- You effectively have two options in terms of how your existing superannuation monies are structured:
  - Continue to hold these monies in your existing AMP SignatureSuper fund.
  - Roll across these superannuation monies to a more actively managed wholesale ‘master trust’ superannuation accumulation platform.

Investments Within Superannuation

AMP SignatureSuper – Account Number 702746875 (Ross)

Ross, you have a superannuation fund with AMP SignatureSuper invested in the ‘Future Directions Growth (100%)’ option.

The asset allocation of your AMP SignatureSuper portfolio is:

Asset Class	% of Portfolio
Australian Shares	31.98%
International Shares	34.56%
Property / Infrastructure	12.46%
Alternative	9.97%
Fixed Interest	6.48%
Cash	4.55%
	100%

Current AMP SignatureSuper Portfolio Profile Compared to a 'Balanced' Benchmark

Asset Class	Current Portfolio	Benchmark Profile for Balanced Portfolio	Deviation
Australian Shares	31.98%	27%	+4.98%
International Shares	34.56%	29%	+5.56%
Property/Infrastructure	12.46%	12%	+0.46%
Fixed Interest	6.48%	26%	-19.52%
Cash	4.55%	6%	-1.45%
Alternative	9.97%	0%	+9.97%

AMP SignatureSuper 'Future Directions Growth' Option Historical Performance at 31/12/23:

	1 year	3 years (p.a.)	5 years (p.a.)
AMP SignatureSuper	10.80%	5.78%	7.33%

Option 1 – Maintain Existing AMP SignatureSuper

Ross

You are invested in AMP SignatureSuper's 'Future Directions Growth' option which is not aligned with your Investor Risk Profile.

The asset allocation of this option is detailed on the previous page.

Downside:

- The investment options available are limited
- You are not invested directly in line with your Investor Risk Profile
- The historical long term average performance and short-term performance associated with your AMP SignatureSuper is lower than alternative options.

Option 2 – Master Trust Platforms (Colonial First State)

Your investments in the Colonial First State (CFS) platform would have a specifically modelled portfolio directly in line with your 'Balanced' Investor Risk Profile. The specific underlying funds that make up your individual portfolio would be:

Ross

Colonial First State Wholesale Personal Super – 'Balanced' portfolio

	% of portfolio
Realindex Australian Share Value	9.00%
Ausbil Australian Active Equity	9.00%
First Sentier Australian Small Companies	9.00%
CFS Index Global Share	15.00%
Ironbark Royal London Concentrated Global Share	14.00%
Pendal Property Investment	4.00%
First Sentier Property Securities	3.00%
CFS Global Infrastructure Securities	5.00%
Perpetual Diversified Income	26.00%
FirstRate Saver	6.00%
	100.00%

Performance of the recommended Colonial First State 'Balanced*' Portfolio at 31/12/2023:

	% of portfolio	**1 year**	**3 years p.a.**	**5 years p.a.**
Realindex Australian Share Value	9.00%	12.68%	11.96%	11.56%
Ausbil Australian Active Equity	9.00%	11.22%	16.54%	10.00%
First Sentier Australian Small Companies	9.00%	8.98%	4.50%	11.67%
CFS Index Global Share**	29.00%	19.20%	9.96%	11.75%
Pendal Property Investment	4.00%	15.56%	4.76%	6.57%
First Sentier Property Securities	3.00%	16.01%	5.86%	6.60%
CFS Global Infrastructure Securities	5.00%	3.12%	5.21%	5.90%
Perpetual Diversified Income	26.00%	6.31%	2.40%	2.53%
FirstRate Saver	6.00%	3.67%	1.56%	1.27%
	100%	**11.65%**	**6.68%**	**8.09%**

* This portfolio is in line with your Investor Risk Profile

** Please note the 'Ironbark Royal London Concentrated Global Share' fund does not have performance figures for 3 or 5 years so this fund has been excluded from the projections and incorporated into the 'CFS Index Global Share' fund.

Performance of the alternative Colonial First State 'Growth^' Portfolio at 31/12/2023:

	% of portfolio	1 year	3 years p.a.	5 years p.a.
Realindex Australian Share Value	12.00%	12.68%	11.96%	11.56%
Ausbil Australian Active Equity	12.00%	11.22%	16.54%	10.00%
First Sentier Australian Small Companies	10.00%	8.98%	4.50%	11.67%
CFS Index Global Share	37.00%	19.20%	9.96%	11.75%
Pendal Property Investment	4.00%	15.56%	4.76%	6.57%
First Sentier Property Securities	4.00%	16.01%	5.86%	6.60%
CFS Global Infrastructure Securities	6.00%	3.12%	5.21%	5.90%
Perpetual Diversified Income	13.00%	6.31%	2.40%	2.53%
FirstRate Saver	2.00%	3.67%	1.56%	1.27%
	100%	**13.21%**	**7.94%**	**9.61%**

^ This portfolio is in line with the asset allocation of your existing AMP SignatureSuper fund and therefore reflects an 'apples to apples' comparison to your current AMP portfolio.

Proposed Portfolio

Superannuation Assets	
AMP SignatureSuper Accumulation Fund (Account # - 702746875)	**$0**
Colonial First State Wholesale Personal Super (Account # - TBD)	**$417,632**
Realindex Australian Share Value	$37,587
Ausbil Australian Active Equity	$37,587
First Sentier Australian Small Companies	$37,587
CFS Index Global Share	$62,645
Ironbark Royal London Concentrated Global Share	$58,468
Pendal Property Investment	$16,705
First Sentier Property Securities	$12,529
CFS Global Infrastructure Securities	$20,882
Perpetual Diversified Income	$108,584
FirstRate Saver	$25,058
Retirement Assets	**$417,632**

Benefits:

- The alternative portfolio has outperformed your current fund.
- A sector specific asset allocation strategy takes advantage of expert fund managers who specialise in that single sector.
- You will have access to a wide range of investment options which cannot be accessed in your current funds.
- The alternative wholesale fund platform has a wide range of investment options with access to more than one specialist manager within each asset class.
- The alternative wholesale fund platform allows for ongoing monitoring and management of the fund's performance and asset allocation.
- You would continue to receive ongoing advice from us as your financial adviser as we will have full access to information relating to the recommended superannuation fund. This will enable us to provide thorough and timely advice to you.

Replacement of an Existing Product

Ross

Type of Fee or Cost	AMP SignatureSuper - $417,632	Colonial Wholesale Super Fund - $417,632
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	Admin. Fee 0.234% p.a. + $78 p.a.	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	$1,800 p.a.
Annual average cost – Total $417,632 investment	**$1,055 p.a.**	**$1,800 p.a.**

Outcomes Post Implementation - Ross:

- The overall fees will **increase** by approximately **$745** per annum.
- The Colonial First State Wholesale '**Growth**' portfolio has **outperformed** your current AMP SignatureSuper Fund over the past 5 years by an average of **2.28%** p.a.
- Based on your current balance, **this equates to $9,522 per annum ($47,610 over a five-year period).**
- The Colonial First State Wholesale '**Balanced**' portfolio has **outperformed** your current AMP SignatureSuper Fund over the past 5 years by an average of **0.76%** p.a.
- Based on your current balance, **this equates to $3,174 per annum ($15,870 over a five-year period).**
- The historical performance figures outlined on the previous pages are **NET** of the respective investment fees. The investment fees for the above two options are as follows:
  - AMP SignatureSuper (current) – **0.88%**
  - CFS portfolio (proposed) – **0.91%**

Concessional 'Catch-Up' Superannuation Contributions

Ross, the concessional superannuation contribution cap in years prior to the 2021/22 Financial Year was $25,000 per annum. In the 2021/22 financial year, this cap increased to $27,500 p.a.

Carry Forward Concessional Contributions:

- If you have a total superannuation balance below $500,000 you can carry forward any unused concessional contributions cap amounts that accrue from 1 July 2018 for up to five financial years. This allows eligible members who do not use all of their concessional cap in a particular financial year, to carry forward their unused concessional cap amounts to future years.
- To be eligible to make catch-up concessional contributions in a year, you must meet the following conditions:
    - have a 'total superannuation balance' of less than $500,000 as at 30 June at the end of the financial year immediately preceding the financial year in which the concessional contribution is to be made
    - have previously unused concessional contributions cap amounts that have accrued in one or more of the five financial years preceding the year in which the concessional contribution is made.

- **Ross**, the following concessional contributions have been made in recent years:

Financial Year	Ross	Total Allowable Contributions
2018/19	$13,713	$25,000
2019/20	$17,309	$25,000
2020/21	$17,876	$25,000
2021/22	$18,308	$27,500
2022/23	$19,955	$27,500
TOTAL	**$87,161**	**$130,000**

- Ross, you therefore have a total of **$42,839** in concessional 'catch-up' contributions available to you from the 2018/19, 2019/20, 2020/21, 2021/22 and 2022/23 Financial Years.

Recommendation:

- **Ross**, as your superannuation balance is less than $500,000 you are eligible to make 'catch up' concessional contributions.
- **Ross**, we recommend you make the additional 'catch up' contribution of **$42,839** in the 2023/24 financial year.
- **Ross**, in light of the above, consider making additional salary sacrifice or personal concessional contributions to superannuation up to the maximum limit each year. This would equate to an additional personal contribution of **$7,500 p.a**.
- The associated tax benefit is outlined on the following pages.

Benefits:

- Personal concessional contributions are made with pre-tax dollars and therefore you will receive a reduction in taxable income for the contributions that you make.
- Your personal concessional contributions will be taxed at a maximum of 15% compared to 39% (including the 2% Medicare levy) if taken as income.
- **The total tax saving each year is anticipated to be:**
    - **Ross** **$1,462**
- **The total tax saving from making a one-time 'catch-up' contribution of $48,504 on top of making the above additional personal contribution is anticipated to be:**
    - **Ross** **$9,825**

Tax Liability - Ross

<u>Current</u> Estimated Tax Liability

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income from employment	$130,000			
Deductions				
Salary Sacrifice		$13,600		
TAXABLE INCOME			**$116,400**	
Tax Payable before Rebates/Credits				**$28,297**
LESS Rebates & Credits				
Low Mid Income Tax Offset				($0)
Total Rebates & Credits				**($0)**
TAX PAYABLE after REBATES & CREDITS				**$28,297**
Medicare Levy				$2,328
NET TAX				**$30,625**

<u>Proposed</u> Estimated Tax Liability

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income from employment	$130,000			
Deductions				
Salary Sacrifice		$13,600		
Additional Contribution		$7,500		
TAXABLE INCOME			**$108,900**	
Tax Payable before Rebates/Credits				**$25,860**
LESS Rebates & Credits				
Low Mid Income Tax Offset				($0)
Total Rebates & Credits				**($0)**
TAX PAYABLE after REBATES & CREDITS				**$25,860**
Medicare Levy				$2,178
NET TAX				**$28,038**

<u>Note:</u> the additional $7,500 superannuation contribution will be subject to contributions tax of 15% ($1,125). Therefore, total tax incurred will be $29,163.

<u>Therefore, the overall tax benefit is anticipated to be $1,462 per year ($30,625 – $29,163).</u>

Tax Liability - Ross

<u>Current</u> Estimated Tax Liability

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income from employment	$130,000			
Deductions				
Salary Sacrifice		$13,600		
TAXABLE INCOME			**$116,400**	
Tax Payable before Rebates/Credits				**$28,297**
LESS Rebates & Credits				
Low Mid Income Tax Offset				($0)
Total Rebates & Credits				**($0)**
TAX PAYABLE after REBATES & CREDITS				**$28,297**
Medicare Levy				$2,328
NET TAX				**$30,625**

<u>Proposed</u> Estimated Tax Liability

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income from employment	$130,000			
Deductions				
Salary Sacrifice		$13,600		
Additional Contribution		$7,500		
'Catch-Up' Contribution		$42,839		
TAXABLE INCOME			**$66,061**	
Tax Payable before Rebates/Credits				**$11,937**
LESS Rebates & Credits				
Low Mid Income Tax Offset				($9)
Total Rebates & Credits				**($9)**
TAX PAYABLE after REBATES & CREDITS				**$11,928**
Medicare Levy				$1,321
NET TAX				**$13,249**

<u>Note:</u> the additional $50,339 superannuation contribution will be subject to contributions tax of 15% ($7,551). Therefore, total tax incurred will be $20,800.

<u>Therefore, the overall tax benefit is anticipated to be $9,825 for this year ($30,625 – 20,800).</u>

Non- Concessional Superannuation Contributions

Recommendation:

- Following the above concessional contributions of $50,339 being made this Financial Year, it is estimated that you will still have $249,661 of surplus funds remaining with all concessional contribution limits utilised.
- If you are able to make the additional contribution of $7,500 p.a. from your existing cash flow each year and do not need to put aside any additional reserve cash, we would recommend making a one-time non-concessional contribution of $249,661 (this contribution remains within the contribution caps detailed in the 'Superannuation Contribution Limits' section):

Who	Timing	Type of contribution	Amount
Ross	Pre 30/06/24	Non-concessional	$249,661
Total			**$249,661**

Benefits:

- Any assets held within the fund are effectively being held in the most tax effective environment.
- The returns on balances held within superannuation and invested should be higher than the current returns on cash held in bank deposits.

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

Overall Superannuation Contribution Schedule

- **Ross**, if you contribute the recommended 'carry forward' contribution ($42,839) along with the maximum annual concessional contributions available to you, **the net tax saving over the next five years is anticipated to be $15,673**.

**It is assumed existing employer contributions and Salary Sacrificing remain the same through these 5 years at $7,500 p.a.*

		2023/24	2024/25	2025/26	2026/27	2027/28	Total
	Concessional Contribution Cap	**$27,500**	**$27,500**	**$27,500**	**$27,500**	**$27,500**	
	Personal Concessional Contributions Available (including 'carry forward' contributions)	$42,839	-	-	-	-	
	Carry Forward Contribution	$42,839	-	-	-	-	**$42,839**
	Additional Concessional Contribution	$7,500	$7,500	$7,500	$7,500	$7,500	**$37,500**
	Total Concessional Contribution	**$50,339**	**$7,500**	**$7,500**	**$7,500**	**$7,500**	**$80,339**
	Taxable Income	$66,061	$108,900	$108,900	$108,900	$108,900	
	Reduction in Net Tax Payable	**$9,825**	**$1,462**	**$1,462**	**$1,462**	**$1,462**	**$15,673**
	Total Non-Concessional Contribution	**$249,661**	**-**	**-**	**-**	**-**	**$249,661**
	Total Contribution	**$300,000**	**$7,500**	**$7,500**	**$7,500**	**$7,500**	**$330,000**

Investment Structures & Associated Retirement Projections:

Assumptions:

- 10-year period projections (takes you to the age of 70).
- Superannuation capital and managed funds increase by 6.0% p.a.
- Cash in bank accrues interest at 4% p.a.
- Property grows in value by 5% p.a.
- Concessional contributions into Super are taxed at 15%.
- **Ross, you continue to work in your current capacity for another 3 years before retiring and drawing down a tax-free income of $50,000 p.a.**
- Total Capital as at this point is as follows.

Total Super Capital:	**$417,632**
Total Net Investment Capital (outside superannuation):	**$330,000**
Net Retirement Capital:	**$718,000**

Scenario 1:

- Retain current position.

Total Net Super Capital:	**$409,602**
Total Net Investment Capital (outside superannuation):	**$519,289**
Net Retirement Capital:	**$928,891**

Scenario 2:

- Make an additional contribution of $7,500 each year to make the maximum contribution of $27,500 p.a.

Total Net Super Capital:	**$440,118**
Total Net Investment Capital (outside superannuation):	**$494,486**
Net Retirement Capital:	**$934,605**

Scenario 3:

- Same as Scenario 2 but make a one-time 'catch-up' contribution of $42,839.

Total Net Super Capital:	**$501,638**
Total Net Investment Capital (outside superannuation):	**$445,416**
Net Retirement Capital:	**$947,054**

Scenario 4:

- Same as Scenario 3 but make an additional one-time non-concessional contribution of $249,661.

Total Net Super Capital:	**$923,435**
Total Net Investment Capital (outside superannuation):	**$90,070**
Net Retirement Capital:	**$1,013,505**

Aside from your Super/Investment capital, you will also retain your residential property, the estimated position of which after 10 years is as follows:

Residential property value:	$1,140,226
Residential property debt:	$0
Residential property equity:	**$1,140,226**

A copy of the calculations used to derive the different outcomes detailed above is contained in the appendix at the rear of this Statement of Advice.

Impact of Annual Retirement Income on Capital

Based on these Retirement Capital projections, the following returns would need to be achieved in order for you to satisfy specific annual retirement incomes without eroding any capital:

Scenario	Projected Retirement Capital	Retirement Income Required	Required Annual Return on Capital
1	$928,891	$50,000	5.38%
		$70,000	7.54%
		$90,000	9.69%
2	$934,605	$50,000	5.35%
		$70,000	7.49%
		$90,000	9.63%
3	$947,054	$50,000	5.28%
		$70,000	7.39%
		$90,000	9.50%
4	**$1,013,505**	**$50,000**	**4.93%**
		$70,000	**6.91%**
		$90,000	**8.88%**

What is paid to your adviser

Plan Fee

You have agreed to a Plan Fee of $2,500+GST, which will be invoiced to you.

Upfront and Ongoing Fee Disclosure

An Adviser Service Fee of $1,800 p.a. will apply to any Colonial FirstChoice investments implemented.

The agreed ongoing fee is the way we charge for the ongoing service that we provide. If at any time you wish to discuss this you can do so.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a "cooling-off" period in which to change your mind if you don't think the product meets your needs. The cooling-off period usually starts when you're told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don't guarantee they're the best available or that they'll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non-Superannuation Products

Yes, when making non-superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third-party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is import to appreciate that we live in an ever-changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements (if applicable)
- Contact us if you have any questions
- Tell us immediately if any information is incorrect

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended, however, you will need to study the investment statements of the recommended products carefully before you decide to invest.

Appendix A – Assumptions

In preparing your financial strategy, it is necessary to make certain assumptions. These are outlined below.

- Current superannuation rules, taxation legislation and social security rates have been used;
- Where applicable Medicare Levy of 2.0% is included on marginal tax rates;
- Superannuation contributions tax of 15% is taken into consideration where relevant;
- Cash flow projections are based on estimated income of your investment portfolio and any other income such as salary.

Appendix B – LONSEC Research 'Regional Diversification' Chart

Appendix C – LONSEC Research Reports

Appendix D – Retirement Capital Projections